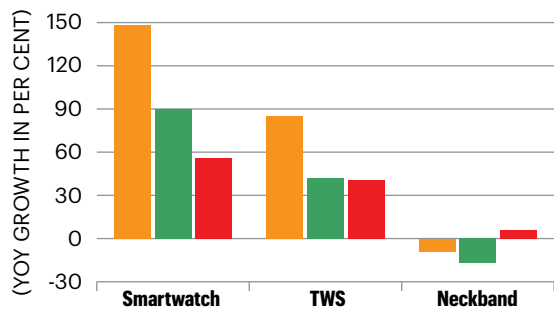


GROWTH RATE

► **AFFORDABILITY, VARIETY AND RISING DEMAND ARE DRIVING SMARTWATCH SALES**

► **INCREASING LOCAL PRODUCTION HAS BOOSTED SHIPMENTS IN THE TRUE WIRELESS SEGMENT**



● CY2022* ● H1CY2023* ● CY2023E

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104 | as well. Noise also onboarded Olympics gold-medalist Neeraj Chopra as its brand ambassador recently.

Another critical area that convinced consumers to go for Indian brands was after-sales service. Earlier, when many of the accessories bundled with smartphones only came with a six-month warranty, Indian brands offered a one-year warranty on their products. Some even allowed customers to return the product within a week or a month if they did not like it. And if the device malfunctioned within a year of purchase, seamless repair or replacement was also available. For instance, boAt still continues to offer door-to-door service on products priced as low as ₹1,000. This has helped them retain customers, who often return to the brand for their next purchase, and even contribute towards word-of-mouth publicity.

But back then, going for offline sales was more about burning money for these companies as consumers were doubtful about investing in a new Indian brand. And for the brand, the channel distribution costs were high, while its reach was limited. E-commerce platforms, however, offered the perfect solution. First, their reach was not restricted to the top-tier cities and towns, helping make these products available in Tier II, III and IV cities and towns. Second, instead of taking the shopkeeper's word about the quality of the product, customers

could check the community reviews on e-commerce platforms before making a purchase. This helped the Indian brands reach a larger section of customers.

Interestingly, it turned out to be a win-win situation for the e-commerce players as well, as they were able to get rid of the non-branded products prevalent on their platforms. A perfect example of this is how home-grown brand pTron has managed to have at least 20-25 per cent products from its stable in the Top 100 products on Amazon. The company, which sold mobile accessories on its own platform between 2014 and 2019, realised that it couldn't compete against the dominance of the e-commerce giants. Hence, it opted to tie up with Amazon. "We knew that there is a huge demand for good quality products at the right price point," says Ameen Khwaja, Founder and CEO of pTron, adding that the company decided to make a pitch to Amazon. pTron's pitch was that among the e-commerce giant's Top 100 products, about 30-35 per cent came from unorganised players, and these always had complaints or some issues, resulting in Amazon having a bigger customer support team to keep working on those sellers. "We pitched to Amazon to help clear this."

Another tipping point for the Indian players came when the 'Make in India' wave started changing the mindset of customers. "Earlier, people wanted to buy imported products from America or London. But now customers take pride in buying a 'Made in India' product," says Mehta of boAt.

While the Make in India scheme started with smartphones and other categories of devices, it has also spurred the assembly of wearables in the country. The government has also helped by imposing duties on importing fully assembled units into the country. This has resulted in about 70-85 per cent of these accessories being assembled in India. Further, industry players are pushing the government to launch a production-linked incentive scheme for the category so that they can source more parts locally. "Two-thirds of the smartwatches are currently being produced in India and almost half of the wearables are currently being manufactured here," says Anshika Jain, Senior Research Analyst at Counterpoint Research. "This share is likely to go up in the coming period as the phased manufacturing programme by the government is helping the ecosystem to drive volumes." More OEMs (original equipment manufacturers) have also started assembling in India, and even the EMS (electronics manufacturing